

We need 8-9 months' worth of income in our emergency fund. So, if we earn Rs. 20,000 p.m., we will need Rs. 1,60,000 in our emergency fund. At the maximum, we can have up to 12x our monthly earning i.e. a year worth of earning. On the lower end, we need to have at least 6x our monthly earning i.e. half year worth of earning in the emergency fund.

Often people put a lot more in the emergency funds than needed. This gives them a sense of safety. We need to understand that our aim is to be prepared for emergencies and not to raise the money. A year worth of income is more than enough to be prepared for emergencies. Beyond that, we are simply wasting money and not putting it to efficient use.

The importance of emergency funds has been well established in the recent turn of events with the pandemic and poor economic circumstances. The emergency system gives great strength to navigate through hard times. And we can also realize how a year worth of income would have been enough to navigate through the hardest of times where the whole world went upside down. So, there is no point in having anything more than this in the emergency system.

